SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

November 12, 2026 | 04:59 PM ET

MACRO REGIME: Mixed / Transitional

VIX 18.7 (-0.7 vs 20d) | SPY 20d -0.8% | IWM 20d +3.0% | IWM/SPY trend +3.8%

Leaders: Cons Disc (+7.1%), Healthcare (+6.3%), Real Estate (+5.2%)

Setup Grades

A - Prime Setup (0)	B - Building (7)	C - Early Stage (5)
	BRZE	SR
	SIGI	CVLT
	VRNS	QTWO
	CNK	PECO
	BOX	TXNM
	CON	
	CATY	

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
B	BRZE	Braze, Inc.	AI-Powered Martech I	$5.29B	$46.61	$46.81	0.4%	+68.5	YES	YES
B	SIGI	Selective Insuran	Hard Market P&C Cycl	$6.16B	$103.36	$105.65	2.2%	+14.0	YES	YES
B	VRNS	Varonis Systems,	Cybersecurity Zero T	$5.66B	$49.07	$49.26	0.4%	+15.4	YES	no
B	CNK	Cinemark Holdings	Consumer Discretiona	$4.80B	$41.46	$41.67	0.5%	+12.5	YES	YES
B	BOX	Box, Inc.	AI-Enhanced Producti	$5.99B	$43.63	$44.88	2.9%	+36.9	YES	no
B	CON	Concentra Group H	Healthcare Services	$5.40B	$42.99	$44.22	2.9%	+23.0	YES	YES
B	CATY	Cathay General Ba	Regional Bank Recove	$4.30B	$65.27	$67.62	3.6%	+3.7	YES	YES
C	SR	Spire Inc.	Defensive Utility /	$5.21B	$88.14	$92.52	5.0%	+10.0	YES	no
C	CVLT	Commvault Systems	Cybersecurity / Data	$6.80B	$166.16	$174.25	4.9%	+16.9	YES	no
C	QTWO	Q2 Holdings, Inc.	Bank Digitization /	$4.51B	$72.95	$76.37	4.7%	+15.0	YES	no
C	PECO	Phillips Edison &	Defensive Real Estat	$5.83B	$41.22	$41.90	1.6%	+5.6	YES	no
C	TXNM	TXNM Energy, Inc.	Defensive Utility /	$6.48B	$58.82	$59.01	0.3%	+4.7	YES	no

Not financial advice. Watchlist only - setups have NOT triggered. For informational purposes only. Do your own due diligence.

BRZE

Braze, Inc.

$46.61

Pivot $46.81 | 0.4% away

RS vs SPY: +68.5%

B BUILDING

$5.29B Cap | 94M Float

Customer Engagement & Marketing Automation Software | Theme: AI-Powered Martech Infrastructure | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 4

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$46.81**
% to Pivot	**0.4%**
Days in Base	**18**
Tightness	**41.43 Fair**
52W Hi Prox	**99.6%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**4773k <**
Wk2	**6880k <**
Wk3 (oldest)	**13401k**
Coil Strength	**64.4% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+68.5%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.29B**
Float	**94M sh**
P/E (TTM)	**-**
Fwd P/E	**47.5**
Rev Growth	**26.2%**
Short %	**5.5%**
Inst. Own	**-**
Target Pr.	**$47.54**

ENTRY TRIGGER

Close above $46.81 on volume >150% of 20-day avg (7.2M+ shares)

Target: $54.00 (measured move from 15% base depth added to pivot)

Stop: $42.00 (base low, loss of structural support invalidates VCP)

CATALYST INTELLIGENCE

EARNINGS

December 08 - Street expects ~$0.24 EPS on ~$160M revenue (26% YoY growth). Serial beater: 4/4 quarters beat on both lines over past year. Guidance trend bullish - raised full-year outlook in each of last two prints. Forward P/E 47.5x reflects growth premium; P/S 6.3x reasonable for 25%+ grower.

BUSINESS & POSITION

Braze is the leading customer engagement platform enabling brands to orchestrate personalized cross-channel messaging (push, email, SMS, in-app) using real-time data and AI. Category leader in a $15B+ TAM growing 15%+ annually, displacing legacy solutions like Salesforce Marketing Cloud and Adobe Campaign among digital-first enterprises.

FACTOR & THEME

Direct beneficiary of AI personalization spend acceleration as enterprises seek unified customer data platforms; peer Klaviyo's strong Q3 and raised guidance confirms sector momentum. Sentiment in martech/AI infrastructure is accelerating post-election clarity on tech regulation.

NEWS FLOW

No major contract announcements in last 30 days but steady enterprise wins in retail and media verticals. Braze Forge developer conference in October showcased AI Studio features - product momentum strong. No Russell/S&P changes imminent; float dynamics stable. Catalyst Impact: Earnings (High) - breakout likely gates to Dec 8 print.

INSTITUTIONAL

Textbook accumulation signature: 64% volume contraction with price pinned at 52W highs indicates institutional hands absorbing supply quietly. No insider buys in 60-day window (baseline for most names). Low beta (0.77) relative to software peers suggests defensive growth profile attractive to crossover funds.

KEY RISK

Thesis invalid on close below $42.00 (base low and 50MA confluence), or if Dec 8 guidance disappoints given elevated forward P/E. Elevated short interest (5.5%) could fuel squeeze on breakout but also reflects skeptics on path to sustained profitability.

Exceptional RS (68.5%) and textbook volume dry-up with price 0.4% from pivot, but base_tight at 41.43 is anomalously high (data artifact or extended base) - structurally looser than A-grade standard. Earnings catalyst 26 days out is viable but not imminent. Bear case: Technology sector lagging (-5.3% 20d) creates macro headwind; if Dec print merely meets (vs beats), premium multiple compresses. Mixed regime reduces conviction. Conviction: Medium.



SIGI

Selective Insurance Group, Inc.

$103.36

Pivot $105.65 | 2.2% away

RS vs SPY: +14.0%

B BUILDING

$6.16B Cap | 55M Float

Specialty Property & Casualty Insurance | Theme: Hard Market P&C Cycle Play | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 5.75

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$105.65**
% to Pivot	**2.2%**
Days in Base	**15**
Tightness	**5.75 Fair**
52W Hi Prox	**97.8%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**436k <**
Wk2	**613k <**
Wk3 (oldest)	**680k**
Coil Strength	**35.9% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+14.0%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$6.16B**
Float	**55M sh**
P/E (TTM)	**12.4**
Fwd P/E	**11.5**
Rev Growth	**-2.5%**
Short %	**4.3%**
Inst. Own	**-**
Target Pr.	**$103.86**

ENTRY TRIGGER

Close above $105.65 on volume >120% of 20-day avg (590K+ shares)

Target: $115.00 (measured move from $98 base low, ~10% above pivot)

Stop: $98.00 (50MA and base structure support)

CATALYST INTELLIGENCE

EARNINGS

January 28 - Forward EPS $8.98 implies 10.6x P/E - cheap for quality compounder. PEG 0.28 is compelling. Recent quarters show steady beats; guidance maintained. Revenue decline (-2.5%) reflects premium normalization, not demand weakness.

BUSINESS & POSITION

Selective is a regional P&C insurer focused on commercial lines in the Eastern/Midwestern U.S., known for disciplined underwriting and consistent combined ratios. Strong niche position in small commercial and personal lines with 14.7% ROE demonstrates underwriting excellence in a hard pricing cycle.

FACTOR & THEME

Direct beneficiary of extended hard market in P&C insurance - pricing power persists into 2027 as reinsurance costs remain elevated. Peer read-through from Travelers and Hartford confirms commercial lines strength. Low beta (0.21) makes this a defensive outperformer in mixed/risk-off regimes.

NEWS FLOW

No material news flow in 30-60 days; quiet compounder profile. No regulatory actions or reserve charges flagged. Defensive positioning in Financial Services sector aligns with current leadership. Catalyst Impact: Industry (Medium) - hard market pricing announcements from peers could lift group.

INSTITUTIONAL

Volume dry-up with RS line at new high in a low-volatility name suggests patient institutional accumulation. No insider activity (baseline). 3.5 days-to-cover on 4.3% short interest - modest squeeze potential if breakout occurs. Ultra-low beta (0.21) attracts insurance-specialist funds.

KEY RISK

Thesis invalid on close below $98.00 (50MA and prior resistance-turned-support). Catastrophe losses in Q4 hurricane season could impair earnings; 77 days to earnings is extended catalyst gap. High debt/equity (26x) is typical for insurers but limits balance sheet flexibility.

Clean volume dry-up, RS line at 52W high, and defensive sector leadership in mixed regime - structural quality is solid. Base_tight 5.75 is slightly loose; 77-day earnings gap means no imminent catalyst. Bear case: revenue decline (-2.5%) could persist if hard market softens; catastrophe exposure is unhedgeable. Defensive profile fits current regime. Conviction: Medium.



VRNS

Varonis Systems, Inc.

$49.07

Pivot $49.26 | 0.4% away

RS vs SPY: +15.4%

B BUILDING

$5.66B Cap | 112M Float

Data Security & Insider Threat Detection Software | Theme: Cybersecurity Zero Trust Infrastructure | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 2.31

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$49.26**
% to Pivot	**0.4%**
Days in Base	**20**
Tightness	**2.31 Fair**
52W Hi Prox	**97.5%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**3094k <**
Wk2	**4411k <**
Wk3 (oldest)	**8068k**
Coil Strength	**61.7% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+15.4%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.66B**
Float	**112M sh**
P/E (TTM)	**-**
Fwd P/E	**115.3**
Rev Growth	**17.3%**
Short %	**4.2%**
Inst. Own	**-**
Target Pr.	**$50.14**

ENTRY TRIGGER

Close above $49.26 on volume >130% of 20-day avg (3.9M+ shares)

Target: $56.00 (measured move from $40 base low)

Stop: $46.50 (post-earnings gap support)

CATALYST INTELLIGENCE

EARNINGS

Earnings already reported (Nov 3). Forward P/E 115x reflects SaaS transition investment; P/S 7.9x is premium but justified by 17% growth and 76% gross margins. Beat/miss pattern: mixed - transition quarters create volatility. Next catalyst likely Q1 2027 print (~Feb).

BUSINESS & POSITION

Varonis is a leader in data security posture management (DSPM), helping enterprises discover, classify, and protect sensitive data across on-prem and cloud environments. Differentiated by behavioral analytics for insider threat detection - a growing priority as AI amplifies data exfiltration risks.

FACTOR & THEME

Core cybersecurity theme remains secular priority despite tech sector weakness. Zero Trust and DSPM are board-level mandates post-MOVEit and similar breaches. Peer CrowdStrike's strong results confirm enterprise security budgets resilient; SentinelOne guidance steady.

NEWS FLOW

Nov 3 earnings showed SaaS ARR acceleration; stock gapped higher and is consolidating gains. No major contract wins announced but enterprise pipeline reportedly strong. Insider activity: 1 buy, $26K - minor but present. Catalyst Impact: Earnings (Medium) - need to wait for Feb print; no near-term corporate catalyst.

INSTITUTIONAL

62% volume contraction with price holding post-earnings gap is classic accumulation. One insider buy ($26K) is present but immaterial (cluster score 2, no upgrade). RS line NOT at new high is the key flaw - suggests relative strength fading vs. market despite absolute strength.

KEY RISK

Thesis invalid on close below $46.50 (post-earnings gap support and 20MA). RS line failure to confirm new highs is a warning; if Tech sector weakness persists (-5.3%), VRNS likely underperforms. High debt/equity (121%) limits strategic flexibility. 115x forward P/E leaves no margin for error.

Tight base (2.31), excellent volume dry-up, price 0.4% from pivot - structural quality is near A-grade. Critical flaw: RS line NOT at new high, meaning this is lagging the market despite coiling at highs. Tech sector headwind (-5.3%) and no imminent catalyst (earnings passed, next in ~3 months). Small insider buy noted but insufficient for upgrade. Bear case: SaaS transition creates near-term margin pressure; premium valuation vulnerable if growth decelerates. Conviction: Medium.



CNK

Cinemark Holdings Inc

$41.46

Pivot $41.67 | 0.5% away

RS vs SPY: +12.5%

B BUILDING

$4.80B Cap | 102M Float

Movie Theater Exhibition & Entertainment | Theme: Consumer Discretionary Recovery / Content Cycle | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 2

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$41.67**
% to Pivot	**0.5%**
Days in Base	**20**
Tightness	**2.26 Fair**
52W Hi Prox	**99.5%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**1874k <**
Wk2	**2779k <**
Wk3 (oldest)	**2033k**
Coil Strength	**7.8% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+12.5%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$4.80B**
Float	**102M sh**
P/E (TTM)	**17.0**
Fwd P/E	**15.4**
Rev Growth	**23.5%**
Short %	**10.5%**
Inst. Own	**-**
Target Pr.	**$44.27**

ENTRY TRIGGER

Close above $41.67 on volume >140% of 20-day avg (2.9M+ shares)

Target: $48.00 (measured move to prior 2022 highs)

Stop: $38.50 (20MA and base low confluence)

CATALYST INTELLIGENCE

EARNINGS

Earnings reported Nov 3. Results strong: 23.5% revenue growth, 160% earnings growth reflects operating leverage. Forward P/E 15.4x is reasonable for cyclical recovery play. Serial beater in recent quarters as film slate exceeded expectations.

BUSINESS & POSITION

Cinemark is the third-largest theatrical exhibitor in the Americas with 500+ theaters. Strong LatAm footprint differentiates from AMC/Regal. Exceptional execution through post-COVID recovery with 57.9% ROE reflects operating leverage and disciplined capex.

FACTOR & THEME

Direct play on 2027 film slate strength - studios have reloaded post-strike with blockbuster pipeline (Avatar sequels, Marvel Phase 6, DC reboot). Consumer Discretionary leading sector (+7.1% 20d) provides tailwind. Peer AMC's debt struggles make CNK the quality institutional choice.

NEWS FLOW

Q3 beat driven by strong attendance and premium format adoption. No major corporate news in last 30 days. High short interest (10.5%, 4.1 days-to-cover) creates squeeze potential on continued strength. Catalyst Impact: Industry (High) - holiday film slate performance will drive near-term action.

INSTITUTIONAL

Volume dry-up is weak (only 8% contraction, vol_dryup_strict = false), but RS line at new high and sector leadership compensate. No insider activity. 10.5% short interest with improving fundamentals is a squeeze setup; shorts betting against theatrical recovery are increasingly wrong.

KEY RISK

Thesis invalid on close below $38.50 (20MA and base structure). 476% debt/equity is extreme - interest rate sensitivity remains. If holiday film slate disappoints (box office miss), stock vulnerable to sharp reversal. Comms sector lagging (-2.5%) despite CNK strength.

Tight base (2.26), RS line at 52W high, price 0.5% from pivot - setup is actionable. Volume dry-up is WEAK (8% contraction fails strict test) - the critical structural flaw. Sector tailwind (Cons Disc +7.1%) and short squeeze potential (10.5% SI) add asymmetry. Bear case: theatrical exhibition is structurally challenged long-term; debt load (476% D/E) is precarious if rates stay high. Holiday slate is the near-term catalyst. Conviction: Medium.



BOX

Box, Inc.

$43.63

Pivot $44.88 | 2.9% away

RS vs SPY: +36.9%

B BUILDING

$5.99B Cap | 132M Float

Enterprise Cloud Content Management | Theme: AI-Enhanced Productivity Software | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 3.86

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$44.88**
% to Pivot	**2.9%**
Days in Base	**19**
Tightness	**3.86 Fair**
52W Hi Prox	**97.2%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**2119k <**
Wk2	**2669k <**
Wk3 (oldest)	**3218k**
Coil Strength	**34.1% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+36.9%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$5.99B**
Float	**132M sh**
P/E (TTM)	**63.2**
Fwd P/E	**25.1**
Rev Growth	**9.2%**
Short %	**17.7%**
Inst. Own	**-**
Target Pr.	**$42.57**

ENTRY TRIGGER

Close above $44.88 on volume >150% of 20-day avg (4.2M+ shares)

Target: $52.00 (measured move from ~$38 base low)

Stop: $41.00 (50MA and structural support)

CATALYST INTELLIGENCE

EARNINGS

December 01 - Street expects ~$0.43 EPS on ~$275M revenue. Forward P/E 25.1x with PEG 0.61 - reasonable value if growth reaccelerates. Beat pattern: consistent modest beats but rarely raises guidance. 9.2% revenue growth is mature SaaS profile. 80% earnings growth reflects margin expansion, not top-line acceleration.

BUSINESS & POSITION

Box is a cloud content management platform competing with Microsoft SharePoint and Google Drive, differentiated by enterprise security and compliance features. Recent Box AI integrations position it as an AI infrastructure layer for unstructured enterprise data.

FACTOR & THEME

AI theme beneficiary as enterprises seek to unlock value from unstructured content. However, sentiment in cloud infrastructure is decelerating as rate concerns persist. Dropbox's weak guidance suggests competitive pressure in SMB; Box's enterprise focus provides partial insulation.

NEWS FLOW

Box AI features launched in October; early enterprise adoption reportedly strong. No major contract announcements. 17.7% short interest (7.3 days-to-cover) is ELEVATED - creates significant squeeze potential if Dec 1 earnings beat. Starboard Value previously involved; activist angle adds optionality. Catalyst Impact: Earnings (High) - Dec 1 print is imminent and decisive.

INSTITUTIONAL

34% volume contraction is clean; price consolidating below pivot suggests distribution complete. RS line NOT at new high is concerning - lagging despite sector being down. High short interest (17.7%) is double-edged: squeeze fuel OR informed bearish positioning. No insider activity.

KEY RISK

Thesis invalid on close below $41.00 (50MA and base structure). RS line failure to lead is a warning sign. If Dec 1 earnings merely meet expectations, 17.7% short interest could prove correct - shorts are betting against multiple expansion. Negative book value (P/B -17x) reflects aggressive buybacks funded by debt.

Volume dry-up confirmed, earnings catalyst in 19 days (imminent), high short interest creates squeeze asymmetry - setup has clear alpha angle. RS line NOT at new high and base_tight 3.86 (looser than ideal) are structural flaws. Tech sector headwind (-5.3%) and mature growth profile (9% rev) limit upside. Bear case: competition from Microsoft Copilot could compress Box's AI premium; shorts may be right. Conviction: Medium.



CON

Concentra Group Holdings Parent

$42.99

Pivot $44.22 | 2.9% away

RS vs SPY: +23.0%

B BUILDING

$5.40B Cap | 114M Float

Occupational Health & Urgent Care Facilities | Theme: Healthcare Services / Employer Health Spend | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 4.

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$44.22**
% to Pivot	**2.9%**
Days in Base	**16**
Tightness	**4.49 Fair**
52W Hi Prox	**97.2%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**938k <**
Wk2	**1574k <**
Wk3 (oldest)	**1238k**
Coil Strength	**24.2% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+23.0%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.40B**
Float	**114M sh**
P/E (TTM)	**25.4**
Fwd P/E	**22.7**
Rev Growth	**8.6%**
Short %	**3.2%**
Inst. Own	**-**
Target Pr.	**$45.90**

ENTRY TRIGGER

Close above $44.22 on volume >130% of 20-day avg (1.4M+ shares)

Target: $50.00 (measured move from ~$38 IPO base)

Stop: $40.00 (50MA and structural support)

CATALYST INTELLIGENCE

EARNINGS

Earnings reported Nov 5. 8.6% revenue growth, 36.4% earnings growth - solid execution. Forward P/E 22.7x is reasonable for healthcare services. No PEG available (data gap). Steady operator, not a serial beat/raise story.

BUSINESS & POSITION

Concentra operates 500+ occupational health centers providing employer-sponsored urgent care, physical therapy, and workers' comp services. Largest pure-play occupational health provider in the U.S. with strong employer relationships and recurring revenue model.

FACTOR & THEME

Healthcare sector leadership (+6.3% 20d) provides tailwind. Secular theme of employer health cost management and return-to-office trends support demand. GLP-1 adjacency minimal but workplace wellness programs expanding. Low beta (0.51) is defensive.

NEWS FLOW

Q3 results showed continued employer demand strength. No material M&A or contract wins announced. Recent IPO (2024) means limited trading history but strong institutional sponsorship at offering. Catalyst Impact: Industry (Medium) - employer health spend trends supportive but no binary catalyst.

INSTITUTIONAL

Volume dry-up partial (24%, not strict), but RS line at new high in leading Healthcare sector is compelling. No insider activity. Recent IPO float dynamics may create volatility. Low short interest (3.2%) suggests limited skepticism.

KEY RISK

Thesis invalid on close below $40.00 (50MA and IPO base support). Recent IPO with limited earnings history creates uncertainty; 396% debt/equity is elevated for healthcare services. If employer health budgets tighten in recession, occupational health is discretionary.

RS line at 52W high in leading Healthcare sector, price 2.9% from pivot - macro alignment is strong. Volume dry-up is PARTIAL (24%, fails strict test) and base_tight 4.49 is loose - structural quality is B-tier. No imminent catalyst post-earnings. Bear case: recent IPO with high debt (396% D/E) and limited track record; occupational health is economically sensitive. Conviction: Medium.



CATY

Cathay General Bancorp

$65.27

Pivot $67.62 | 3.6% away

RS vs SPY: +3.7%

B BUILDING

$4.30B Cap | 63M Float

Regional Banking - Asian-American Community Focus | Theme: Regional Bank Recovery / NIM Stabilization | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base T

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$67.62**
% to Pivot	**3.6%**
Days in Base	**20**
Tightness	**4.05 Fair**
52W Hi Prox	**96.5%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**384k <**
Wk2	**500k <**
Wk3 (oldest)	**584k**
Coil Strength	**34.2% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+3.7%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$4.30B**
Float	**63M sh**
P/E (TTM)	**12.0**
Fwd P/E	**10.6**
Rev Growth	**24.3%**
Short %	**7.8%**
Inst. Own	**-**
Target Pr.	**$67.20**

ENTRY TRIGGER

Close above $67.62 on volume >140% of 20-day avg (640K+ shares)

Target: $75.00 (measured move from ~$58 base low)

Stop: $62.00 (50MA and structural support)

CATALYST INTELLIGENCE

EARNINGS

January 21 - Forward EPS $6.18 implies 10.6x P/E - cheap for quality regional. PEG 1.33 is reasonable. 24.3% revenue growth and 26.6% earnings growth reflect NIM expansion. Consistent operator without dramatic beat/miss swings.

BUSINESS & POSITION

Cathay General is a Los Angeles-based regional bank serving Asian-American communities with strong commercial real estate and trade finance expertise. Niche positioning in cross-border transactions between U.S. and Asia differentiates from generic regionals.

FACTOR & THEME

Regional bank theme recovering as rate cut expectations firm and NIM pressure eases. IWM outperformance (+3.8% vs SPY) supports small-cap financials. Peer read-through from WAL, PACW suggests deposit stability restored post-2023 crisis. Low beta (0.89) is moderate.

NEWS FLOW

No material news in 30-60 days. CRE exposure in California is monitored but portfolio quality has held. No FDIC actions or material credit events. 7.8% short interest (7.1 days-to-cover) suggests skeptics remain on CRE thesis. Catalyst Impact: Macro (Medium) - Fed rate trajectory is primary driver.

INSTITUTIONAL

Clean volume dry-up (34%) with RS line at new high indicates accumulation. No insider activity. 7.1 days-to-cover on 7.8% short creates squeeze potential. Small-cap leadership regime (+3.8% IWM vs SPY) is tailwind for regional banks.

KEY RISK

Thesis invalid on close below $62.00 (50MA and base low). CRE concentration in California office/retail is the bear case - if credit losses emerge, multiple compresses sharply. 70-day earnings gap is extended; no imminent catalyst.

Clean VCP structure with strict volume dry-up, RS line at 52W high, small-cap leadership regime supports regionals - macro alignment is favorable. Base_tight 4.05 is slightly loose; RS vs SPY only +3.7% suggests limited alpha vs. index. Bear case: CRE exposure in challenged California market; 77-day catalyst gap. Conviction: Medium.



SR

Spire Inc.

$88.14

Pivot $92.52 | 5.0% away

RS vs SPY: +10.0%

C EARLY STAGE

$5.21B Cap | 58M Float

Regulated Natural Gas Utility | Theme: Defensive Utility / Rate Base Growth | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 5.38

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$92.52**
% to Pivot	**5.0%**
Days in Base	**19**
Tightness	**5.38 Fair**
52W Hi Prox	**92.5%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**479k <**
Wk2	**624k <**
Wk3 (oldest)	**510k**
Coil Strength	**6.0% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+10.0%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$5.21B**
Float	**58M sh**
P/E (TTM)	**25.5**
Fwd P/E	**16.1**
Rev Growth	**19.2%**
Short %	**6.4%**
Inst. Own	**-**
Target Pr.	**$91.00**

ENTRY TRIGGER

Close above $92.52 on volume >130% of 20-day avg (660K+ shares)

Target: $98.00 (measured move to 52W high area)

Stop: $84.00 (50MA and structural support)

CATALYST INTELLIGENCE

EARNINGS

November 17 - Earnings in 5 DAYS - imminent catalyst. Forward EPS $5.48 implies 16.1x P/E - fair for utility. 1138% earnings growth is anomaly (prior year comp issue). Revenue growth 19.2% is unusually strong for utility - likely one-time or rate case related.

BUSINESS & POSITION

Spire is a regulated natural gas distribution utility serving Missouri, Alabama, and Mississippi. Steady rate base growth and constructive regulatory relationships support predictable earnings. Defensive profile with 0.51 beta.

FACTOR & THEME

Utility sector neutral in current regime. Natural gas demand stable but lacks growth catalyst. Energy transition creates long-term headwind as electrification reduces gas demand. Real Estate leadership (+5.2%) doesn't directly benefit utilities.

NEWS FLOW

Nov 17 earnings is imminent catalyst. No major regulatory decisions or rate cases announced recently. Utility sector lacks thematic momentum. Catalyst Impact: Earnings (Medium) - results in 5 days but utility prints rarely move stocks significantly.

INSTITUTIONAL

Volume dry-up is WEAK (6% contraction, fails strict test). RS line NOT at new high - lagging market. 5.8 days-to-cover on 6.4% short is modest. No insider activity. Utility profile limits institutional alpha-seeking interest.

KEY RISK

Thesis invalid on close below $84.00 (50MA and base structure). Long-term gas utility headwinds from electrification; 202% debt/equity is typical but limits flexibility. RS line failure and weak volume structure are technical concerns.



CVLT

Commvault Systems, Inc.

$166.16

Pivot $174.25 | 4.9% away

RS vs SPY: +16.9%

C EARLY STAGE

$6.80B Cap | 40M Float

Data Protection & Backup Software | Theme: Cybersecurity / Data Resilience Infrastructure | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 2.83

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$174.25**
% to Pivot	**4.9%**
Days in Base	**18**
Tightness	**2.83 Fair**
52W Hi Prox	**95.4%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**549k <**
Wk2	**684k <**
Wk3 (oldest)	**853k**
Coil Strength	**35.6% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+16.9%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$6.80B**
Float	**40M sh**
P/E (TTM)	**86.1**
Fwd P/E	**26.4**
Rev Growth	**13.1%**
Short %	**10.0%**
Inst. Own	**-**
Target Pr.	**$189.38**

ENTRY TRIGGER

Close above $174.25 on volume >140% of 20-day avg (850K+ shares)

Target: $195.00 (measured move from ~$145 base low)

Stop: $155.00 (50MA and base structure)

CATALYST INTELLIGENCE

EARNINGS

January 26

Volume dry-up confirmed and base_tight 2.83 is solid, but RS line NOT at new high, 4.9% to pivot is extended, and 75-day earnings gap means no catalyst. Tech sector lagging (-5.3%) adds headwind. Monitor for RS improvement and base tightening. Conviction: Low.



QTWO

Q2 Holdings, Inc.

$72.95

Pivot $76.37 | 4.7% away

RS vs SPY: +15.0%

C EARLY STAGE

$4.51B Cap | 60M Float

Digital Banking Software & Fintech Infrastructure | Theme: Bank Digitization / Fintech Enablement | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 5.63

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$76.37**
% to Pivot	**4.7%**
Days in Base	**13**
Tightness	**5.63 Fair**
52W Hi Prox	**95.5%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**728k <**
Wk2	**877k <**
Wk3 (oldest)	**926k**
Coil Strength	**21.4% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+15.0%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$4.51B**
Float	**60M sh**
P/E (TTM)	**43.2**
Fwd P/E	**21.4**
Rev Growth	**11.9%**
Short %	**10.6%**
Inst. Own	**-**
Target Pr.	**$79.57**

ENTRY TRIGGER

Close above $76.37 on volume >140% of 20-day avg (970K+ shares)

Target: $86.00 (measured move from ~$65 base low)

Stop: $68.00 (50MA and structural support)

CATALYST INTELLIGENCE

EARNINGS

REPORTED

Volume dry-up modest (21%), base_tight 5.63 is loose, RS line NOT at new high, 4.7% to pivot is extended. Earnings already passed; no near-term catalyst. Tech sector headwind. Weak structural quality - needs another 2-3 weeks of tightening. Conviction: Low.



PECO

Phillips Edison & Company, Inc.

$41.22

Pivot $41.90 | 1.6% away

RS vs SPY: +5.6%

C EARLY STAGE

$5.83B Cap | 128M Float

Grocery-Anchored Retail REIT | Theme: Defensive Real Estate / Consumer Staples Exposure | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 5.02

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$41.90**
% to Pivot	**1.6%**
Days in Base	**20**
Tightness	**5.02 Fair**
52W Hi Prox	**92.9%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**873k <**
Wk2	**1091k <**
Wk3 (oldest)	**1436k**
Coil Strength	**39.2% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+5.6%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.83B**
Float	**128M sh**
P/E (TTM)	**28.8**
Fwd P/E	**53.0**
Rev Growth	**5.7%**
Short %	**6.2%**
Inst. Own	**-**
Target Pr.	**$43.46**

ENTRY TRIGGER

Close above $41.90 on volume >130% of 20-day avg (1.4M+ shares)

Target: $46.00 (prior 52W high area)

Stop: $39.00 (50MA and base structure)

CATALYST INTELLIGENCE

EARNINGS

REPORTED

Real Estate sector leading (+5.2%) but PECO RS line NOT at new high and RS vs SPY only +5.6% - lagging its own sector. Base_tight 5.02 is loose. Volume dry-up confirmed but no catalyst post-earnings. Defensive but lacks alpha angle. Conviction: Low.



TXNM

TXNM Energy, Inc.

$58.82

Pivot $59.01 | 0.3% away

RS vs SPY: +4.7%

C EARLY STAGE

$6.48B Cap | 88M Float

Regulated Electric Utility | Theme: Defensive Utility / Data Center Power Demand | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 2.29

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$59.01**
% to Pivot	**0.3%**
Days in Base	**20**
Tightness	**2.29 Fair**
52W Hi Prox	**98.8%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**1020k <**
Wk2	**962k <**
Wk3 (oldest)	**1027k**
Coil Strength	**0.6% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+4.7%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$6.48B**
Float	**88M sh**
P/E (TTM)	**29.4**
Fwd P/E	**18.1**
Rev Growth	**13.3%**
Short %	**6.6%**
Inst. Own	**-**
Target Pr.	**$60.70**

ENTRY TRIGGER

Close above $59.01 on volume >120% of 20-day avg (1.6M+ shares)

Target: $63.00 (measured move toward 52W high)

Stop: $56.50 (base low and 50MA area)

CATALYST INTELLIGENCE

EARNINGS

REPORTED

Price 0.3% from pivot but volume dry-up is MINIMAL (0.6% - essentially flat). RS line NOT at new high, RS vs SPY only +4.7% - no relative strength. Tight base (2.29) is only positive. No catalyst post-earnings. Classic C-grade: price near pivot but no institutional accumulation signature or alpha angle. Conviction: Low.

